BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Petition No. CAA 85 (PB) /2018
With

COMPANY APPLICATION NO. (CAA) 97(PB) 2018

Judgement Dated: 10.04.2019

CORAM:

CHIEF JUSTICE (RTD.) M.M. KUMAR, HON'BLE PRESIDENT

AND

DR. DEEPTI MUKESH, HON'BLE MEMBER (JUDICIAL)

IN THE MATTER OF:

Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

BETWEEN

CLICKSTREAMERS INDIA PRIVATE LIMITED

(Transferor Company/Applicant Company-I)

And

DENTSU MEDIATECH PRIVATE LIMITED

(Transferor Company No. 4/Applicant Company-II)

And

CONTEXTUAL ADVERTISING PRIVATE LIMITED

(Transferor Company No. 2/Non- Applicant Company)

AND

DENTSU INDIA PRIVATE LIMITED

(Transferor Company No. 3/NON Applicant Company)

AND

VIZEUM MEDIA SERVICES INDIA PRIVATE LIMITED

(Transferor Company No. 5/Non- Applicant Company/Demerged)

AND

IPROSPECT INDIA PIVATE LIMITED

(Transferee Company No.1/Non-Applicant Company/ Resulting Company)

AND

DENTSU AEGIS NETWORK INDIA PRIVATE LIMITED

(Transferee Company No.2/Non-Applicant Company)

MEMO OF PARTIES

CLICKSTREAMERS INDIA PRIVATE LIMITED

A company incorporated under the provisions of Companies Act, 1956

Registered Office: F-130, Ground Floor, Street No.7, Pandav Nagar

New Delhi-110091

..... **Transferor Company/Applicant Company-I**

DENTSU MEDIATECH PRIVATE LIMITED

A company incorporated under the provisions of Companies Act, 1956

Registered Office: F-130, Ground Floor, Street No.7, Pandav Nagar

New Delhi-110091

..... **Transferor Company No.4/Applicant Company-II**

For the petitioner: Mr. Naresh Kumar, Adv.

For the OL, Delhi: Mr. Shubham Pandey, Adv.

For the RD(NR) : Ms. Sonam Sharma, CP.

For the ITD: Mr. Puneet Rai, Standing Counsel for IT.

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of all the

transferor companies into the Transferee Company. The copy of the Scheme has been placed on record.

2. The "Transferor Company no.1", Clickstreamers India Private Limited was incorporated on 20.11.20007 under the provisions of companies Act 1956, having its registered office at F-130, Ground Floor, Street No.7, Pandav Nagar, New Delhi-110091.

3. The "Transferor Company No.4",Dentsu Mediatech Private Limited was incorporated on 22.01.2008 with the name and style of Clozr Customer Communications Private Limited to under the provisions of companies Act 1956. The name of the company was changed its present name on 30.09.2010 and having its registered at office F-130, Ground Floor, Street No.7, Pandav Nagar, New Delhi-110091.

4. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meeting of Shareholders and Creditors was filed before this Bench bearing number CA (CAA) No. 97(PB) 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013,the meetings of equity Shareholders, Secured Creditors and Unsecured Creditors of Transferor Company No. 1 & 4 were dispensed with, vide order dated 04.06.2018 read with 14.06.2018 passed by this Bench. It is pertinent to mention here that Transferor Company No.2 &3, Demerged Company

and both the transferee Company are outside the jurisdiction of this tribunal.

5. On 06.07.2018 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in business Standard in Vernacular (Hindi, Delhi Edition). In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

6. It is seen from the records that the Petitioners have filed an affidavit dated04.09.2018 affirming compliance of the order passed by the Tribunal dated 06.07.2018. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 18.08.2018 as well as in "Business Standard" Hindi Delhi edition again on 18.08.2018 in relation to the date of hearing of the petition. The same affidavit also discloses that nobody has filed any objection or made any representation against the proposed Scheme of Arrangement till the date of this affidavit.

7. The Regional Director has filed its representation dated03.10.2018 whereas no material objection has been raised by the Regional Director against the Scheme. The Regional Director in its para 9 has made one

observation i.e "Refer to Clause 13 of the scheme, the transferee company no.1 may be directed to comply with the provision of section 232(3)(i) of the Companies Act,2013 ibn regard to the fee payable on its revised authorized share capital". However, no prosecution has been filed and no inspection or investigation has been conducted in respect of the petitioner companies.

8. In response to the observation made by the Regional director the applicant company have filed an affidavir dated 18.10.2018 in which it has been submitted that the transferee company no.1 will comply the provision of Section 232(3) (i) of the Companies Act, 2013 with respect to the fee payable on its revised authorized share capital.

9. The Official Liquidator has filed its report dated 25.09.2018 wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

10. The Department of Income Tax has filed its representations in respect of the petitioner companies on 08.01.2019 The Income tax department has submitted that with regard to Dentsu Media tech Pvt. Ltd there is no demand outstanding however with regard to M/S Clickstreamers India Pvt. Ltd. the

Department has submitted that M/S Clickstreamers India Pvt. Ltd. has not filed ITR for A.Y 2017-18. The department has further submitted no objection against the proposed arrangement.

11. In response to the reply filed by the Income Tax department the Transferor Company No. 1 i.e. M/S Click streamers India Pvt. Ltd has filed an affidavit dated 29.01.2018 in which the said company has placed on record a copy of Acknowledgement of Income Tax Return for the Assessment Year 2017-18.

12. However, in order to protect the interest of the revenue it is made clear that there was to be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues if any from petitioner companies, including imposition of penalties etc. as provided in law.

13. It is pertinent to mention here that the Transferor Company No.1 and Transferor Company No.4 are wholly owned subsidiaries of the Transferor Company No. 3, hence no new shares will be issued to the Transferor Company No.1 and Transferor Company No. 4 by Transferee Company No.1.

14. In the joint petition it has been affirmed that no proceedings under Section 210 to 227 of the Companies Act, 2013 are pending against the Petitioner Companies.

15. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting

Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. It has been also affirmed by the petitioner companies that the Scheme is in interest of both the petitioner companies, their shareholders, creditors, employees and all concerned.

17. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Petitioner companies to the proposed Scheme, and the affidavit filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and no objection of Department of Income Tax, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

18. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

19. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

20. **THIS TRIBUNAL DO FURTHER ORDER**

A. In Respect of Transferor Company No. 1 & 4, i.e. petitioner companies:

- That the petitioner companies shall stand dissolved without following the process of winding-up; and
- That all the property, rights and powers of the petitioner companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company.
- That all the liabilities and duties of the petitioner companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall, pursuant to Section

232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

- That all proceedings now pending by or against petitioner companies, be continued by or against the transferee company; and
- That all the employees of the petitioner companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the respective transferor company on the said date.
- That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered petitioner companies shall be dissolved and the Registrar of Company shall place all documents relating to petitioner companies registered with him on the file kept by him in relation to the transferee company and the files relating to the petitioner companies and transferee company shall be consolidated accordingly; and

- That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR)

PRESIDENT

10.04.2019

Sd/-

DR. DEEPTI MUKESH

MEMBER (JUDICIAL)

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